

Cross-Asset Market Outlook

The Fed's Return to Tightening, and India's Rate Dilemma

An oil-shock hike, a resurgent rupee sell-off, and a live RBI call into the 5–7 October MPC

Data compiled through: 25 September 2026 close (IST/EDT as noted)

Framework: Institutional cross-asset outlook formats (Bridgewater Daily Observations, J.P. Morgan Guide to the Markets, PIMCO Cyclical Outlook)

EXECUTIVE SUMMARY

Executive Summary

On **16 September 2026** the FOMC raised the federal funds target range **25bp to 3.75%–4.00%** — its first hike since 2023, and the first under new Chair Kevin Warsh — voting **12–0** as an escalating US–Israel–Iran conflict disrupted shipping through the Strait of Hormuz and Red Sea and pushed Brent crude to **\$105–107/bbl**. The Fed's updated dot plot points to one more 25bp hike by December 2026, taking the range to **4.00–4.25%**.

India has not moved yet. The RBI held its repo rate at **5.25%** for a fourth consecutive review in August, but August CPI surprised to the upside at **4.82%** — an 18-month high and the **tenth consecutive monthly rise** — while the 10-year G-sec yield has pushed through **7.1%**, its highest level in well over a year. The rupee has weakened to a record-adjacent **₹95.9–96.0/USD**, down roughly **8% year-on-year**. The **5–7 October MPC meeting** is now a genuinely live hold-vs-hike decision.

Oil has since eased from its mid-September peak (~\$107) toward **\$104–105/bbl** on reports of a possible phased US–Iran de-escalation, and US Treasury yields, while still elevated (10-year ~5.17%, 30-year near 2004 highs), have pulled back slightly from their post-hike spike. The Nifty 50 has fallen for **seven straight weeks** — its longest weekly losing streak since 2020 — closing at **23,140.50** on 25 September, down **~11.5% year-to-date** and roughly **12%** off its January 2026 record high of 26,373.20, though the shock specific to this Iran episode (from the late-August local high near 24,050 to the mid-September low) has been a comparatively contained **~3.9%**, still the mildest of the last five major shock episodes on that narrower measure.

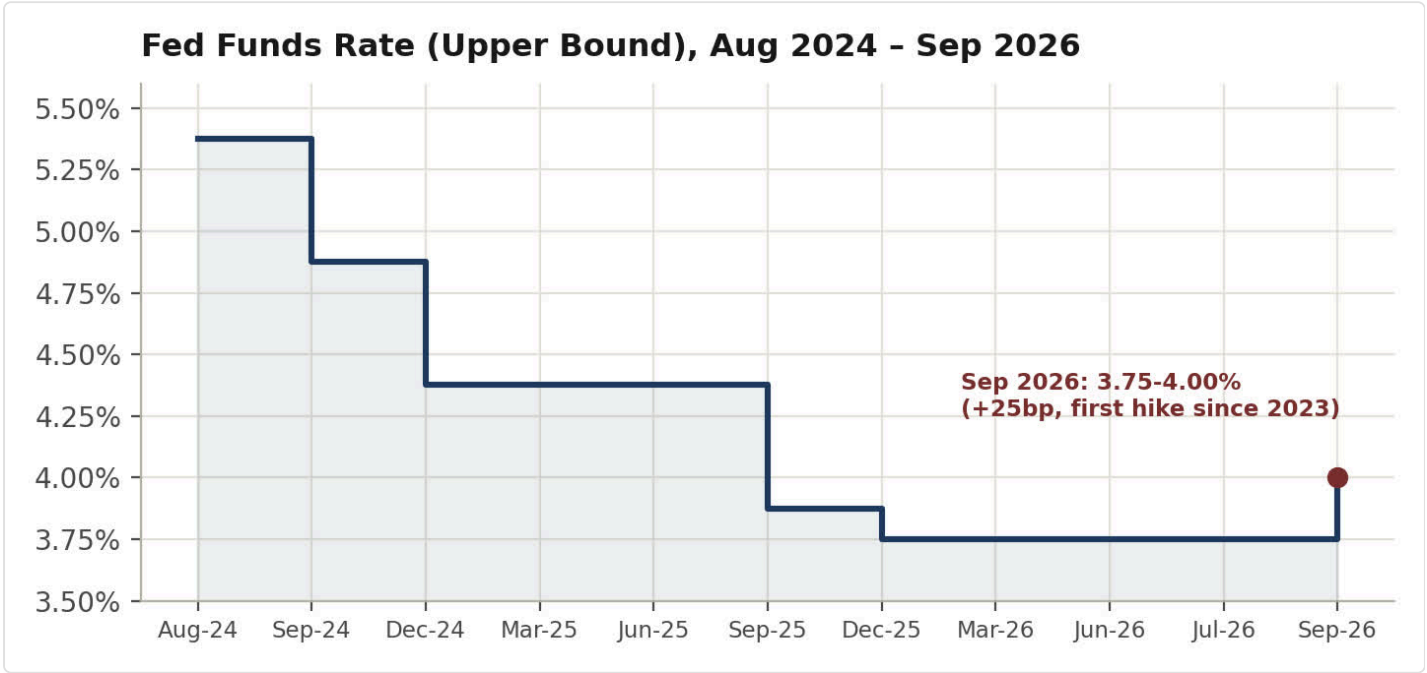
House View: We see the Fed's hike as reactive to a supply-side energy shock rather than a demand-overheating signal, which argues for the RBI to lean toward a **longer hold in October** rather than a reflex hike — core CPI ex-food/fuel is still running near **3.9–4.3%**. We would use rupee weakness and G-sec yield backup as an opportunity to **extend duration selectively** rather than chase it, while staying **cautious on rate-sensitive financials and NBFCs** into the MPC decision.

01 The Global Event

The Fed's reversal was sharp. In July, the same twelve voters held 9–3, with only three regional presidents (Hammack, Kashkari, Logan) pushing for a hike; by September, every member had flipped to support one. Chair Warsh cited a stronger-than-expected labour market (+162k August payrolls vs. ~55k consensus, unemployment steady at 4.1%), PCE inflation still running near 3.7% y/y, and an energy shock that pushed US diesel and gasoline to fresh highs — gasoline hit a Labor Day record of \$4.15/gallon. The FOMC statement was blunt: "inflation remains elevated" and today's move would "support a timelier return" to the 2% goal.

Meeting-by-Meeting Path

Fed Funds Rate (Upper Bound), Aug 2024 – Sep 2026. Source: Federal Reserve Board (federalreserve.gov), FOMC statements.



Fed Funds Rate (Upper Bound), Aug 2024 – Sep 2026

MEETING	DECISION	NEW RANGE	VOTE
Sep 2024 – Jun 2025	Cumulative cuts (3+1)	4.375% → 3.875%	—
Sep 2025	Cut 25bp	3.75–4.00% → 3.50–3.75%	—
Dec 2025	Hold	3.50–3.75%	—
Jun 2026 (Warsh's 1st)	Hold	3.50–3.75%	Unanimous
Jul 2026	Hold	3.50–3.75%	9–3 (3 wanted hike)
Sep 2026	Hike 25bp	3.75–4.00%	Unanimous 12–0

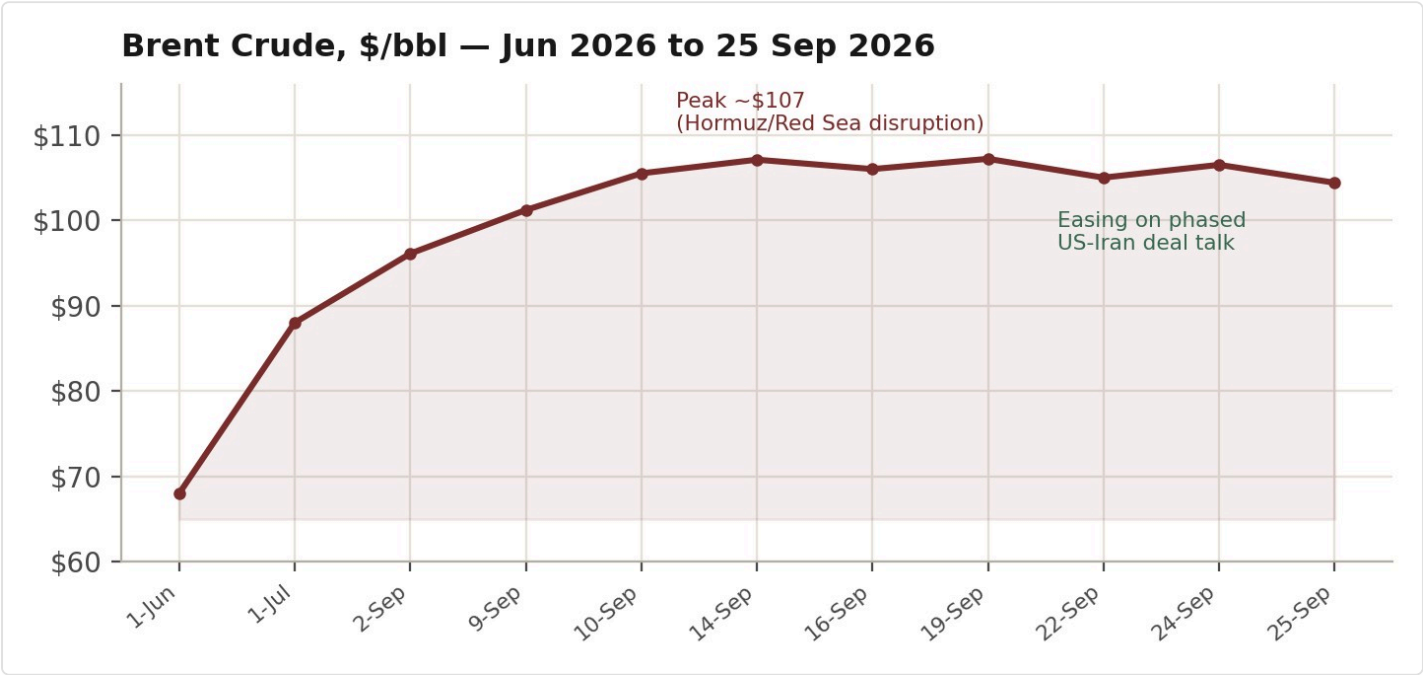
Source: Federal Reserve Board press releases (federalreserve.gov/newsevents/pressreleases).

The September Summary of Economic Projections showed **16 of 18 officials** see at least one more 25bp hike this year, with **four penciling in two**. The median dot points to **4.00–4.25%** by year-end 2026, implying a strong likelihood of a second hike at the December FOMC meeting.

02 Historical Read: How Does This Shock Compare?

A useful discipline for any event-driven update is to ask what happened in the most analogous historical cases, and how markets responded. Energy-driven inflation shocks that force central banks to tighten into slowing growth are the closest template here — with a materially milder starting shock so far than 1979, 2013, 2020 or even 2022.

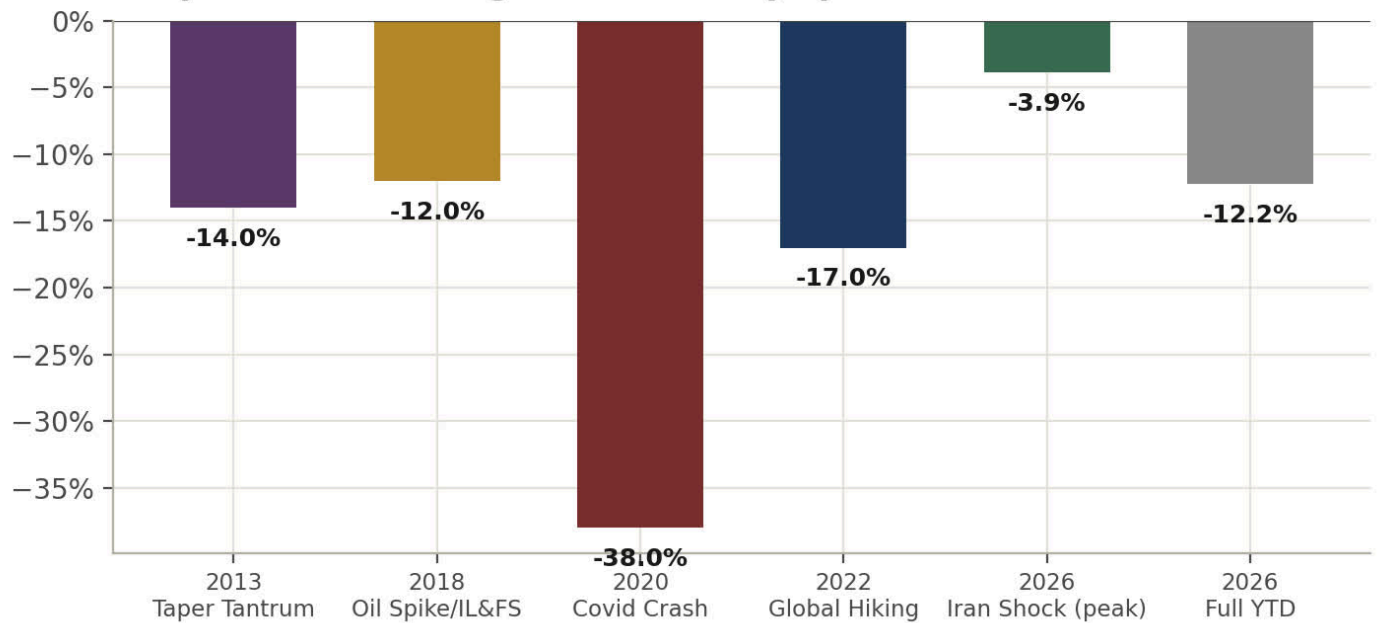
Brent Crude, \$/bbl, Jun–Sep 2026. Source: ICE/CME Brent futures via Trading Economics, Investing.com, Barchart.



Brent Crude, \$/bbl, Jun–Sep 2026

Nifty 50 peak-to-trough drawdown by episode. 2026 "Iran Shock (peak)" isolates the episode-specific move (late-Aug local high to mid-Sep low); "Full YTD" reflects the broader 2026 decline from the January record high, which also includes an earlier, unrelated Jan–Apr correction. Source: NSE, computed from closing levels.

Nifty 50 Peak-to-Trough Drawdown by Episode



Nifty 50 peak-to-trough drawdown by episode

EPISODE	OIL SHOCK	POLICY RESPONSE	NIFTY DRAWDOWN
2013 Taper Tantrum	Not oil-led (Fed QE exit)	RBI hiked, defended INR	-14%
2018 Oil Spike / IL&FS	Brent to ~\$86	RBI held, then cut in 2019	-12%
2020 Covid Crash	Oil collapsed, not a shock	RBI cut 115bp, Fed to zero	-38%
2022 Global Hiking Cycle	Brent to ~\$130 (Ukraine)	Fed +425bp, RBI +250bp	-17%
2026 Iran Conflict (episode)	Brent to ~\$107	Fed +25bp, RBI holds (so far)	-3.9%

Read-through: On magnitude alone, the Iran-shock-specific move is closer to a contained event than a 1970s-style or 2022-style regime break — the swing factor is less "how bad is the drawdown" and more "does the RBI now have to follow the Fed into a hike it wasn't planning for."

03 Global Market Reaction

US Treasury yields have moved sharply. The 10-year yield spiked to roughly 5.01% around the FOMC decision, eased modestly, then rocketed to **~5.21% on 24 September — its highest level since 2007 — amid a broader bond-market sell-off tied to worsening fiscal conditions, resilient economic data and rising inflation expectations (the University of Michigan survey showed a sharp jump in September). The 30-year yield has pushed past 5.4%, its highest since 2004. It eased slightly to 5.17% on 25 September as the week's volatility calmed.**

US 10-Year Treasury Yield, September 2026. Source: U.S. Treasury par yield curve / FRED (DGS10), CNBC, Trading Economics.



US 10-Year Treasury Yield, September 2026

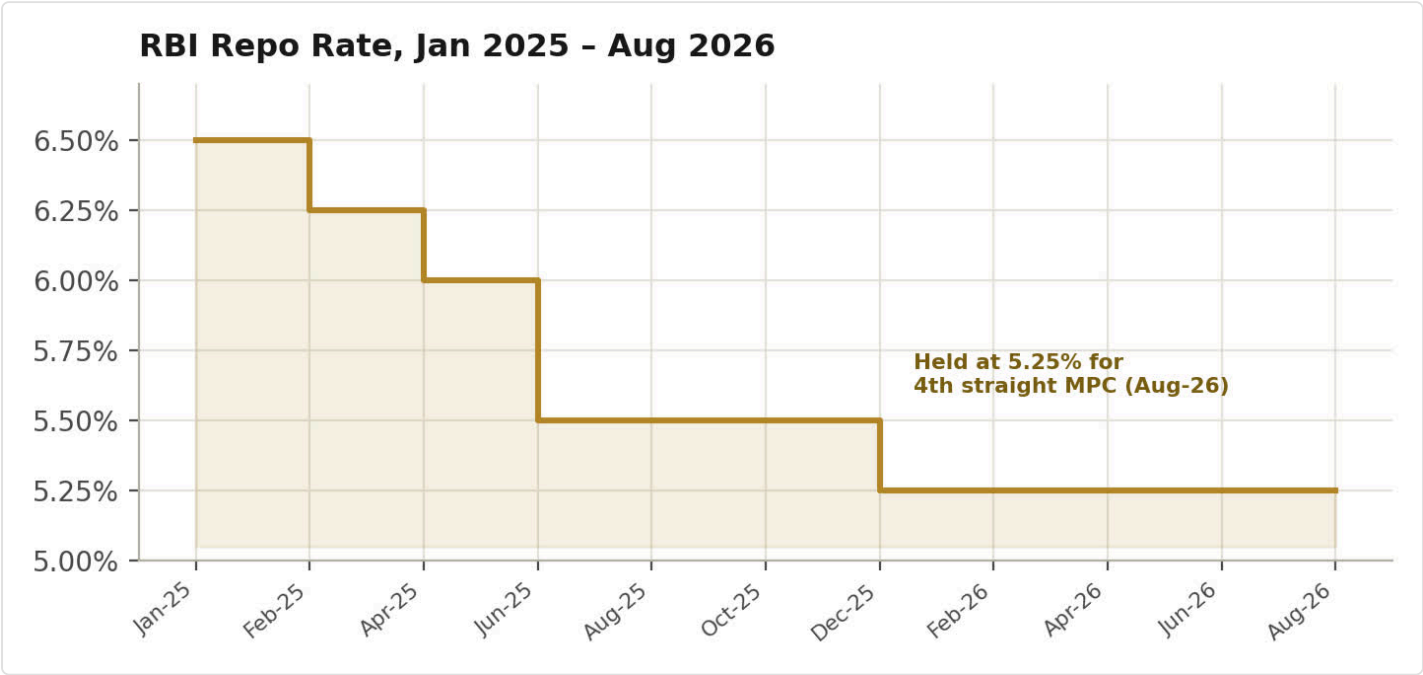
METRIC	VALUE
US 10Y yield, 24 Sep peak	~5.21% (highest since 2007)
US 10Y yield, 25 Sep close	5.17%
US 30Y yield, 25 Sep	~5.40–5.48% (highest since 2004)
US 2Y yield, 25 Sep	~4.81%
Fed dot plot, year-end 2026	4.00–4.25% (implies one more 25bp hike)
Brent crude, 25 Sep close	~\$104.4/bbl (down from ~\$107 peak)

Sources: U.S. Treasury / FRED (DGS10), CNBC (US10Y quote page), Trading Economics, ICE Brent futures.

04 India Read-Through

The RBI cut rates by a cumulative **125bp** from February to August 2025, taking the repo rate from **6.50% to 5.25%**, then held through four straight bi-monthly reviews into August 2026 under Governor Sanjay Malhotra. The August MPC minutes flagged "resilient growth, rising food and fuel inflation" — the same oil-driven story confronting the Fed, just not yet acted upon. The RBI's own FY27 projections, published in August, pencil in GDP growth of **6.7%** and full-year CPI of **5.0%**, with a **Q3 FY27 inflation peak near 5.9%**.

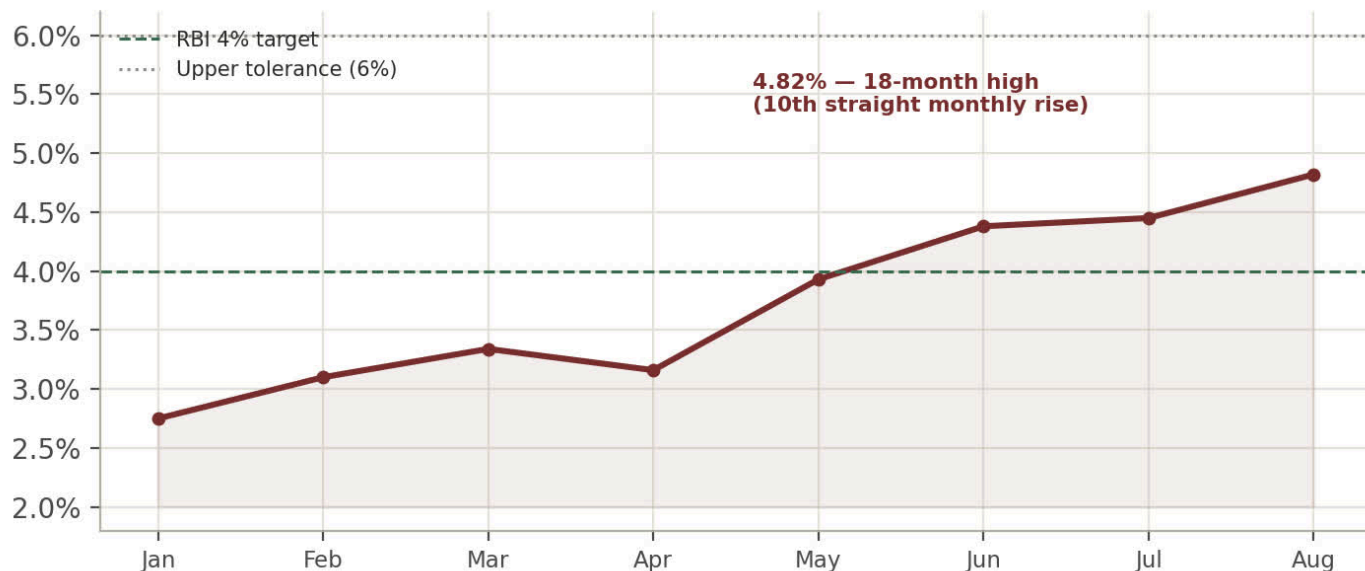
RBI Repo Rate, Jan 2025 – Aug 2026. Source: Reserve Bank of India MPC resolutions (rbi.org.in).



RBI Repo Rate, Jan 2025 – Aug 2026

India CPI Inflation (y/y), Jan–Aug 2026. Source: MoSPI / National Statistical Office (mospi.gov.in), press release dated 14 Sep 2026.

India CPI Inflation (y/y), Jan - Aug 2026



India CPI Inflation (y/y), Jan–Aug 2026

MONTH (2026)	INDIA CPI (Y/Y)	FOOD INFLATION	NOTES
June	4.38%	—	Highest since Dec 2024 at the time
July	4.45%	5.52%	10th straight monthly rise begins to show
August	4.82%	5.95%	18-month high; rural 5.23%, urban 4.31%
FY27 full-year (RBI est.)	5.0%	—	Q3 FY27 projected peak: 5.9%

Source: MoSPI/NSO CPI release (14 Sep 2026, provisional); RBI August 2026 MPC resolution.

Watch: Core inflation excluding food, fuel and precious metals (notably jewellery, which alone added ~0.71 percentage points to the August print) is still running near 3.9–4.3% — the RBI, like the Fed, is dealing with a supply-side and gold-price story rather than broad demand overheating. That distinction usually argues for patience over a reflex hike, though a **10th straight month of rising CPI** narrows the RBI's room to wait.

Bond Market and the Rupee

India's 10-year G-sec yield crossed 7% in September for the first time in over three months, touching ~7.12% on 25 September — up roughly 50bp+ from mid-2026 lows — driven by the crude spike, the global bond sell-off, and uncertainty around RBI liquidity policy. The rupee has weakened alongside it, trading in a 95–

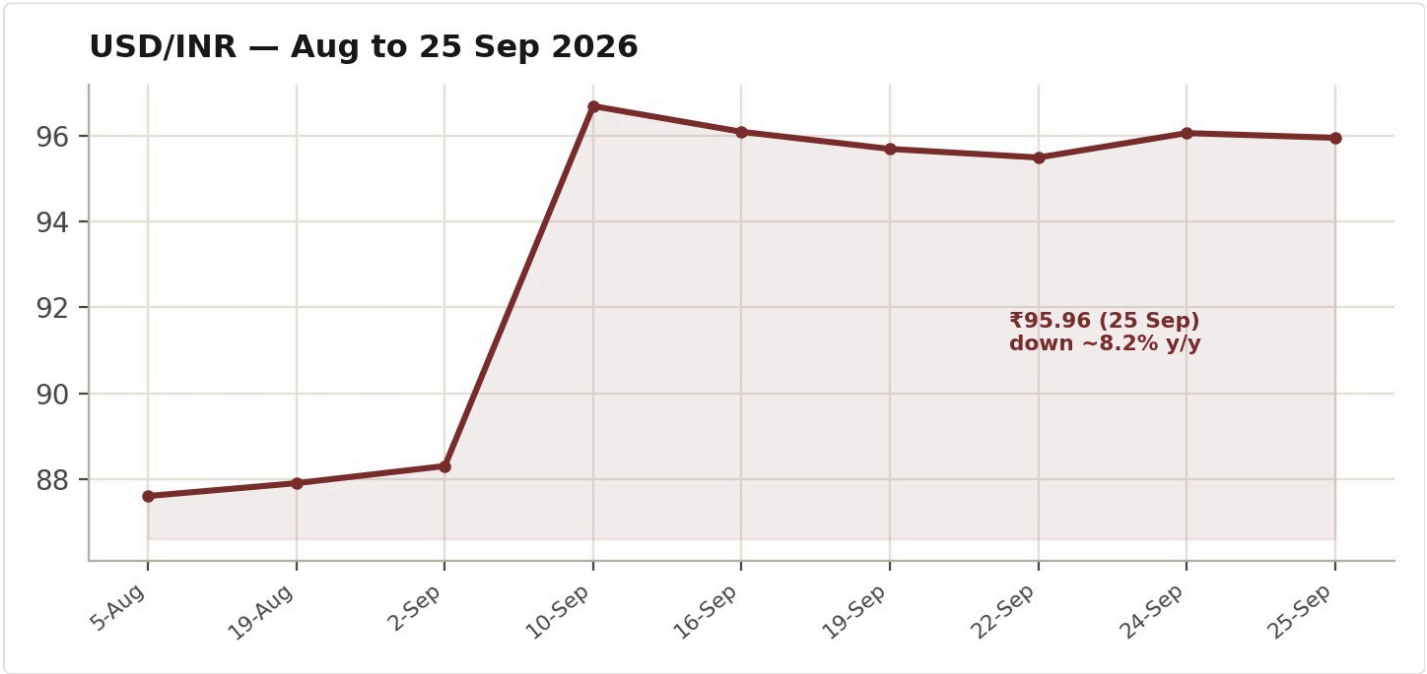
96/USD band and down about 8% over the past year; state-run banks and RBI spot/FX-swap intervention have reportedly helped limit sharper losses, even as foreign portfolio outflows continue.

India 10-Year G-Sec Yield, Jun–25 Sep 2026. Source: MacroMicro, GriplInvest, Trading Economics.



India 10-Year G-Sec Yield, Jun–25 Sep 2026

USD/INR, Aug–25 Sep 2026. Source: Trading Economics, RBI reference rate.



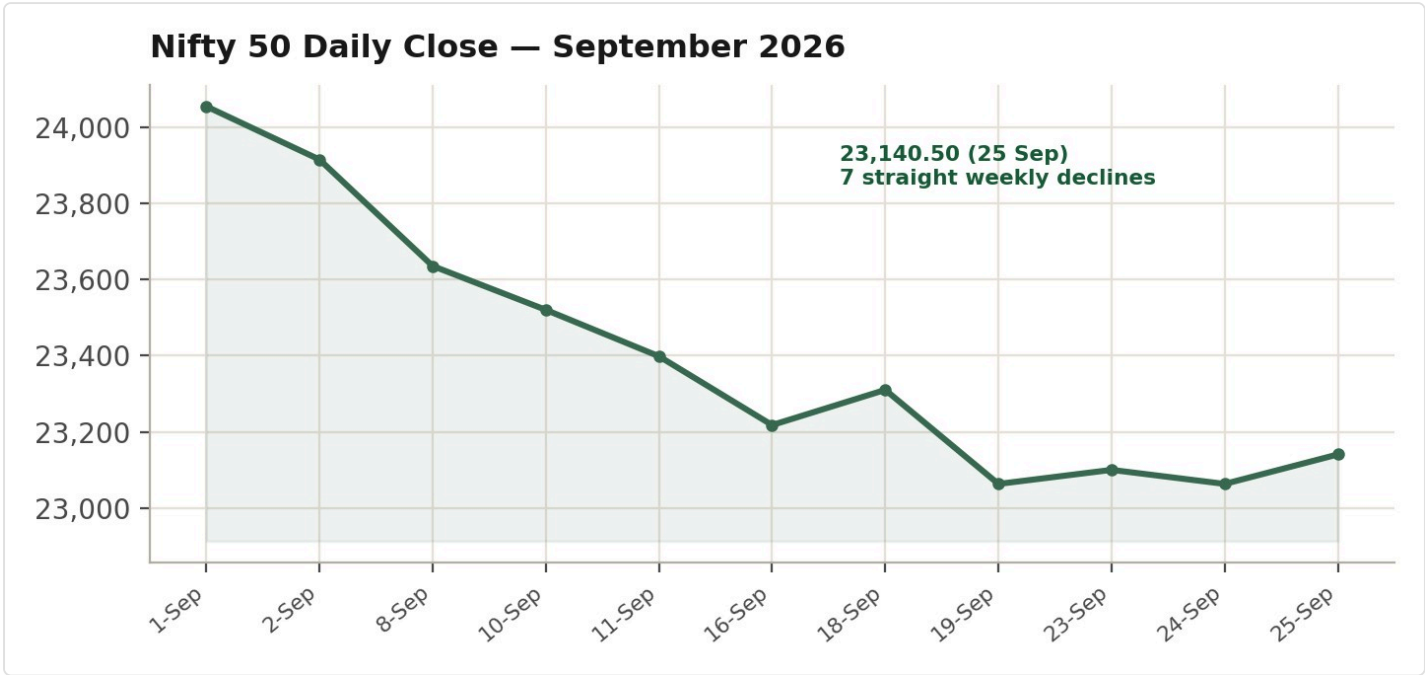
USD/INR, Aug–25 Sep 2026

05 India Market Reaction

Indian equities have been under sustained pressure. The Nifty 50 has now fallen for **seven consecutive weeks** — its longest weekly losing streak since 2020 — closing at **23,140.50** on 25 September (Sensex 73,895.74),

down about 11.5% **year-to-date** and roughly 12% below its 5 January 2026 record high of 26,373.20. The 25 September session itself was a modest relief rally (+0.34% on the Nifty, +0.43% on the Sensex) as Brent eased on hopes of a US–Iran de-escalation, with market breadth notably positive (34 **advancers** vs. 15 **decliners** in the Nifty 50).

Nifty 50 Daily Close, September 2026. Source: NSE India, Business Standard market data.



Nifty 50 Daily Close, September 2026

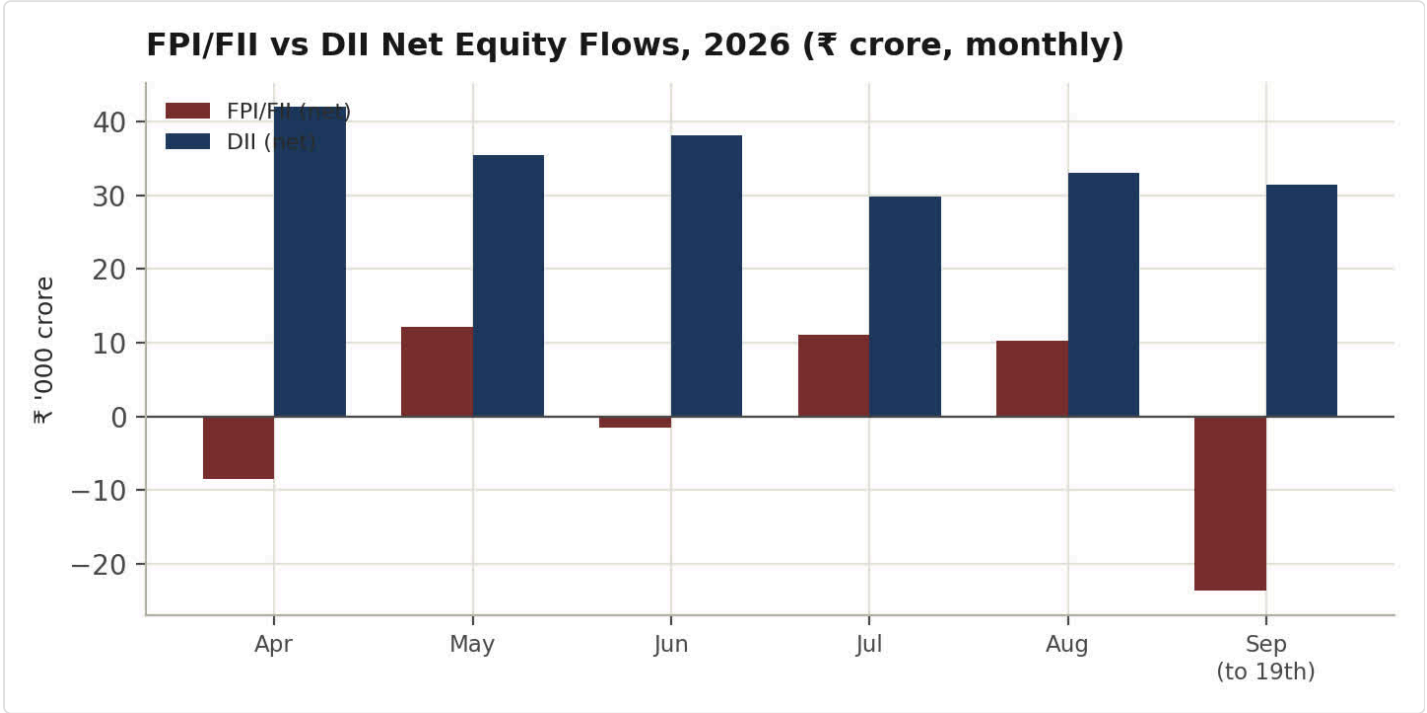
DATE	NIFTY 50 CLOSE	DRIVER
2 Sep	23,914.45	Renewed US–Iran conflict escalation
8 Sep	23,635.10	Oil climbing into Fed decision week
11 Sep	23,398.10	Fed hike odds near-certain; Brent ~\$105
16 Sep	23,217.60	FOMC hike day — decision broadly as expected
19 Sep	23,063.10	7th straight weekly decline confirmed
25 Sep	23,140.50	Relief rally as oil eases on de-escalation hopes

Source: NSE India, Business Standard, Kotak Neo market close reports.

Institutional Flows — SEBI / NSDL Data

Foreign portfolio investors (FPIs) had returned as modest net buyers in **July (+₹11,045 crore)** and **August (+₹10,231 crore)** after a brutal start to the year, but flipped back to heavy net selling in September — NSDL data show outflows of roughly **₹23,676 crore** through the exchanges to 19 September, the **fifth consecutive week of foreign selling**. Cumulative 2026 FPI equity outflows have now reached about **₹2.45 trillion**, already exceeding the ₹1.66 trillion withdrawn across the whole of 2025. Domestic institutional investors (DIIs) — mutual funds, insurers and banks, underpinned by steady SIP inflows — have remained the key counterweight, continuing to absorb foreign selling most sessions.

FPI/FII vs DII net equity cash-market flows, 2026 (₹ crore, monthly; September is partial to 19th). Source: NSDL FPI data (fpi.nsdl.co.in), NSE provisional data, market reporting (Business Standard, Multibagg market-pulse).



FPI/FII vs DII net equity cash-market flows, 2026

Note on data provisionality: September FPI/DII figures above are compiled to 19 September (NSDL) and reflect the most recent official cut-off available at time of writing; full-month figures will be released by NSDL/SEBI in early October and should be checked against fpi.nsdl.co.in before use in any client-facing material.

06 Positioning View

House view at a glance — global and India. This reflects our synthesis of the data above; it is not a recommendation and should be read alongside your own risk framework.

ASSET CLASS	VIEW	RATIONALE
US Duration	Neutral	Yields near two-decade highs, but one more Fed hike is plausible by December
US Equities	Neutral	Earnings resilient; valuations vulnerable to a higher-for-longer yield backdrop
Energy / Oil-linked	Neutral-to-Overweight	Geopolitical risk premium still live despite this week's de-escalation headlines
India Duration	Underweight / Cautious	Hike risk into the 5–7 Oct MPC; 10Y yield above 7% and rising
India Equities	Neutral	Growth intact (FY27 GDP est. 6.7%) but watch the Oct MPC and FPI flow trend
INR	Underweight	Oil-import bill re-widens current-account risk; RBI intervention capping, not reversing, weakness

07 Risks to Watch

- **A durable Strait of Hormuz / Red Sea disruption** keeps Brent above \$100, forcing a second Fed hike in December and pressuring the RBI toward an actual hike rather than just a longer hold.
- **India's Q3 FY27 CPI peak** (RBI projects 5.9%) prints hotter than expected, pulling the 5–7 October MPC decision from hold to hike, with knock-on pressure on financials and rate-sensitive equities.
- **A genuine de-escalation in the Iran conflict** — which the 24–25 September oil pullback and phased-deal reports partly anticipate — reverses the crude spike quickly, in which case both the Fed's and RBI's hawkish pivots could look overdone in hindsight.
- **Continued FPI selling** (five straight weeks as of late September) tests the durability of DII support; a slowdown in domestic SIP inflows would remove the market's main current shock absorber.
- **The US bond-market sell-off** (30Y yields near 2004 highs) reflects fiscal as much as monetary concerns; a disorderly move higher in long-end yields would pressure risk assets globally, India included.

08 Key Dates to Watch

DATE	EVENT	WHY IT MATTERS
5–7 Oct 2026	RBI MPC Meeting	First live hold-vs-hike decision since the RBI's easing cycle ended; markets currently lean hold
12 Oct 2026	India September CPI print	Confirms whether August's 4.82% was a near-term peak or the start of a faster climb
Oct/Nov 2026 (TBD)	Next FOMC meeting	Tests whether the September hike was a one-off or the start of a short cycle
Dec 2026 (TBD)	FOMC meeting	Dot plot and market pricing point to a strong chance of a second 25bp hike here

Sources & Data Provenance

- US Federal Reserve — FOMC statements, Summary of Economic Projections, press releases (federalreserve.gov)
- Reserve Bank of India — MPC resolutions, repo rate history (rbi.org.in)
- Ministry of Statistics & Programme Implementation / National Statistical Office — CPI releases (mospi.gov.in, esankhyiki portal)
- NSE India & BSE — Nifty 50 / Sensex closing levels and market breadth (nseindia.com, bseindia.com)
- NSDL FPI Monitor — foreign portfolio investment flow data (fpi.nsdl.co.in), cross-checked against SEBI-reported aggregates
- U.S. Department of the Treasury / FRED (Federal Reserve Bank of St. Louis) — daily Treasury par yields (DGS10)
- ICE and CME Brent/WTI futures data, cross-checked via Trading Economics and Investing.com
- Secondary market commentary and same-day reporting: CNBC, Reuters-sourced wire coverage, Business Standard, Kiplinger, Charles Schwab, Bondsavvy, GriplInvest

Data provisionality: Several series (intraday oil paths, minute-level USD/INR ticks, and the FPI/DII monthly bar chart) are reconstructed from multiple same-day and same-week reports rather than a single tick-level feed, and September flow data is provisional pending NSDL/SEBI's official month-end release. Verify all figures against primary sources (RBI, Federal Reserve, NSE/BSE, NSDL) before external distribution.

Not investment advice. This report is provided for informational purposes only, reflects data available through 25 September 2026, and does not constitute investment advice, a solicitation, or an offer to buy or sell any securities.